A FOUNDER'S AUDIT OF THE FINANCIAL ENGINE

The Financial Engine Audit

Twenty minutes of honest answering
to find where your money is structurally stuck.

A well-researched, widely-accepted methodology
applied across hundreds of businesses
to find what is broken in how you capture and govern value.

by

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FOREWORD

Most businesses do not have a revenue problem.
They have a money problem.

Every business that has grown without getting wealthier does the same thing first. Push for more revenue. Take on more customers. Add more products. Spend more on growth. Assume the profit will follow. It almost never does, and most founders do not realise the gap until they have spent years on it.

The reason is structural, not effort-based.

A Financial Engine is not an accounting team, and it is not a balance sheet. It is an architecture. Three systems that work together: how you manage the cash flow that keeps the business solvent, how you design the profitability that captures the value you create, and how you maintain the visibility that lets you make decisions with the financial reality in view. When the architecture is sound, growth produces wealth. When it is broken, growth produces stress, and the founder works ten years to end up exactly where they started.

The audit you are about to take is built on that premise. Seven dimensions of your Financial Engine. Five to seven yes-or-no questions per dimension. Twenty minutes of honest answering. A practitioner insight after each domain that names what well-researched and widely-accepted business practice teaches about that dimension. A pattern reading at the end that tells you where your bottleneck most likely lives.

The audit will not solve the bottleneck for you. It will tell you, with reasonable confidence, which one to solve first. That alone is worth the twenty minutes.

Most founders grow revenue and call it progress.

Few stop to ask whether the financial engine is producing wealth.

HOW THE FINANCIAL ENGINE ACTUALLY WORKS

Three systems. Designed together, or accidentally apart.

Every working Financial Engine has three systems inside it. Most founders inherit them by accident and never redesign them on purpose. They are simple to name and unforgiving when they fall out of alignment.

01 **Cash Flow System**

How the business manages money in and money out. Allocation discipline, conversion discipline, and the reserves that protect the business from disruption.

02 **Profitability System**

How the business captures the value it creates. Unit economics, pricing, and the cost and investment discipline that turns revenue into profit and profit into enterprise value over time.

03 **Financial Visibility System**

How the founder actually sees the business. The single Most Important Number, the Founder Scorecard with the seven metrics that run the business, and the forecasting that informs every major decision.

04 **How They Connect**

Cash Flow keeps the business solvent. Profitability captures the value. Financial Visibility surfaces both. The three together turn revenue into wealth. Missing any one of them is why businesses grow and founders do not.

The audit that follows tests the three systems across seven concrete dimensions. If your money is stuck, the bottleneck almost always lives in one of them.

HOW TO USE THIS AUDIT

Four simple rules.

01

ANSWER HONESTLY

The audit is for you, not for anyone else. There is no audience to impress. The value of the audit depends entirely on how honestly you answer.

02

USE A 'NO' IF YOU CANNOT GENUINELY SAY 'YES'

Default to No when uncertain. A No surfaces a real gap. A weak Yes hides one.

03

COUNT YOUR NO's IN EACH DOMAIN

After each domain, write the total number of No answers in the box provided. The pattern of No's across all seven domains is what reveals the bottleneck.

04

DO NOT TRY TO SOLVE WHILE AUDITING

Resist the urge to start fixing problems as you find them. The audit is a diagnostic, not an intervention. Finish the audit first. Then decide what to do.

DOMAIN 01 · CASH FLOW SYSTEM

Cash Allocation

ABOUT THIS DOMAIN

Whether every rupee of incoming revenue gets allocated to a named purpose before it can be spent, or whether everything lands in one operating account that the founder spends from. The single account is the most common cash-flow failure at this scale.

	ANSWER HONESTLY		
01.	Do you have at least four separate bank accounts for Income, Profit, Owner's Pay, and Operating Expenses, with allocation discipline between them?	[ ] Y	[ ] N
02.	Do you allocate incoming revenue to these accounts on a defined cadence rather than spending from a single account?	[ ] Y	[ ] N
03.	Do you take a quarterly profit distribution from the Profit account, deliberately, on a documented schedule?	[ ] Y	[ ] N
04.	Are you paying yourself a sustainable owner's salary that does not depend on the business's monthly cash situation?	[ ] Y	[ ] N
05.	Do you set aside money for tax on every collection, not at the tax deadline?	[ ] Y	[ ] N
06.	Have you reviewed and revised your allocation percentages in the last twelve months based on what the data showed?	[ ] Y	[ ] N
07.	Could you tell me, right now, what percentage of revenue goes to each account, without looking it up?	[ ] Y	[ ] N

YOUR NO COUNT IN THIS DOMAIN

0 to 1 No's: This domain is not your bottleneck.
2 to 3 No's: This domain has leaks worth fixing.
4 or more No's: This domain is likely where you are stuck.

TOTAL NO's _____

PRACTITIONER INSIGHT

Allocation Beats Willpower

The strongest financial operators do not try to spend less. They allocate before they spend. The discipline of moving money out of the operating account into named accounts is what separates founders who get wealthier from founders who get busier. Businesses that operate from a single bank account spend whatever is in that account, regardless of what they should be spending.

DOMAIN 02 · CASH FLOW SYSTEM

Cash Conversion

ABOUT THIS DOMAIN

How quickly your revenue commitments turn into cash in the bank, and how slowly your expense commitments leave the bank. The cash conversion cycle is the operating engine of cash flow, and most three-to-ten-crore businesses lose months of working capital to a cycle they have never measured.

	ANSWER HONESTLY		
01.	Do you know your Days Sales Outstanding (the average time between invoicing and collection) to within five days?	[ ] Y	[ ] N
02.	Do you have a documented collection cadence with defined follow-up steps at 7, 15, 30, and 45 days?	[ ] Y	[ ] N
03.	Do you negotiate supplier payment terms deliberately rather than accepting whatever they offer?	[ ] Y	[ ] N
04.	Do you bill customers as work is completed rather than waiting until the engagement closes?	[ ] Y	[ ] N
05.	Do you require advance payments, deposits, or retainers where the customer relationship allows it?	[ ] Y	[ ] N
06.	Have you fired a customer in the last twelve months because of chronic late payment that exceeded the value they brought?	[ ] Y	[ ] N
07.	Is your cash conversion cycle (DSO + inventory days - DPO) trending shorter quarter over quarter?	[ ] Y	[ ] N

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PRACTITIONER INSIGHT

Working Capital is a Decision

The strongest operators treat the cash conversion cycle as a primary metric, not as something the accountant tracks. Each day of cycle improvement frees up working capital that the business no longer has to borrow or fund from profit. Businesses that ignore the cycle pay for working capital they could have freed up with discipline. The discipline is structural: invoice immediately, follow up systematically, negotiate terms deliberately, require advance payment where you can.

DOMAIN 03 · CASH FLOW SYSTEM

Cash Reserves

ABOUT THIS DOMAIN

Whether your business has a documented cash buffer that protects it from disruption, or whether one bad month would put you in a difficult position. Reserves are the cheapest insurance the business can buy, and most three-to-ten-crore businesses do not maintain them because the founder sees reserves as inefficient capital.

	ANSWER HONESTLY		
01.	Do you have at least three months of operating expenses in a dedicated reserve account?	[ ] Y	[ ] N
02.	Is your reserve account held in liquid instruments separate from the operating account, so it cannot be spent reactively?	[ ] Y	[ ] N
03.	Do you have a documented monthly contribution that builds the reserve toward target, on autopilot?	[ ] Y	[ ] N
04.	Do you have a written protocol for when the reserve can be drawn down, and how it gets replenished?	[ ] Y	[ ] N
05.	Could your business survive a thirty percent revenue decline for six months without external financing?	[ ] Y	[ ] N
06.	Have you reviewed your reserve target in the last twelve months against your actual risk profile?	[ ] Y	[ ] N
07.	Could you sleep through a major customer loss next month and still operate normally?	[ ] Y	[ ] N

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PRACTITIONER INSIGHT

Reserves are the Cheapest Insurance

Strong operators hold reserves deliberately. The cost of holding three months of operating expenses in reserve is the foregone return on that cash. The cost of not holding reserves and hitting disruption is potentially the business itself. The asymmetry is enormous. Reserves also give the founder the negotiating leverage to walk away from bad deals, refuse bad customers, and act on opportunity from a position of strength rather than desperation.

DOMAIN 04 · PROFITABILITY SYSTEM

Unit Economics

ABOUT THIS DOMAIN

Whether you actually know what each customer, engagement, or order costs you and produces for you, fully loaded. Most three-to-ten-crore businesses think they know their unit economics but have not done the work of loading all the costs in.

	ANSWER HONESTLY		
01.	Have you defined your unit of analysis (per customer, per engagement, per order) and calculated contribution margin per unit?	[ ] Y	[ ] N
02.	Does your unit economics calculation include fully-loaded costs (direct, overhead, acquisition, service)?	[ ] Y	[ ] N
03.	Do you know which twenty percent of your customers, engagements, or SKUs produce eighty percent of your profit?	[ ] Y	[ ] N
04.	Do you know which of your customers, engagements, or SKUs are actively unprofitable, with a fix-or-exit decision documented for each?	[ ] Y	[ ] N
05.	Is every new offering run through a unit economics check before launch, with documented projections?	[ ] Y	[ ] N
06.	Do you measure unit economics on a defined cadence (monthly or quarterly) rather than only at year-end?	[ ] Y	[ ] N
07.	Could you tell me, right now, your contribution margin per unit, without looking it up?	[ ] Y	[ ] N

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PRACTITIONER INSIGHT

Profit is a Designed Outcome

The strongest financial operators design unit economics deliberately. They know the fully-loaded cost of producing a unit, the price they capture for it, and the margin that results. They cut the unprofitable tail of customers and offerings without sentiment. Businesses that scale without understanding unit economics scale themselves into unprofitable growth, where each new customer makes the founder poorer rather than wealthier.

DOMAIN 05 · PROFITABILITY SYSTEM

Pricing Discipline

ABOUT THIS DOMAIN

Whether pricing is a deliberate decision, reviewed and adjusted on a cadence, or whether the prices you charge today are the prices you set five years ago. Pricing is the single highest-leverage profitability variable, and most founders touch it once a decade.

	ANSWER HONESTLY		
01.	Have you raised prices on your core offering in the last twelve months?	[ ] Y	[ ] N
02.	Do you price based on the value the customer receives rather than on cost-plus or competitor benchmarks?	[ ] Y	[ ] N
03.	Do you have a documented pricing strategy in writing, with named tiers and rationale?	[ ] Y	[ ] N
04.	Do you have a documented discount policy that governs when discounts are offered and at what depth?	[ ] Y	[ ] N
05.	Do you review pricing on at least a quarterly cadence?	[ ] Y	[ ] N
06.	Have you tested a pricing model alternative (subscription, outcome-based, bundled) in the last two years?	[ ] Y	[ ] N
07.	Could you raise prices by ten percent on your next five proposals and expect to win at least three of them?	[ ] Y	[ ] N

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PRACTITIONER INSIGHT

Pricing is the Highest-Leverage Decision

A one percent price increase, at unchanged volume, produces ten to twenty times more profit improvement than a one percent cost reduction in most businesses. The strongest operators treat pricing as a CEO-level discipline with quarterly reviews and deliberate adjustments. Businesses that anchor prices to cost-plus or to competitor benchmarks leave structural margin on the table every year and call it competitive positioning.

DOMAIN 06 · PROFITABILITY SYSTEM

Cost and Investment Allocation

ABOUT THIS DOMAIN

Whether your spending is deliberate or accidental. Whether you can distinguish between costs (that maintain current operations) and investments (that produce future return). Most spending in three-to-ten-crore businesses is treated as cost regardless of which category it actually belongs to.

	ANSWER HONESTLY		
01.	Do you do a structured quarterly review of all spending, with a documented decision to keep, change, or kill each line item?	[ ] Y	[ ] N
02.	Can you distinguish, in writing, between operational costs and growth investments in your business?	[ ] Y	[ ] N
03.	Do major investments get a documented business case before approval, with named expected return?	[ ] Y	[ ] N
04.	Do you track the actual return on growth investments at six, twelve, and twenty-four months from the investment date?	[ ] Y	[ ] N
05.	Have you killed an investment in the last twelve months that was not producing the projected return?	[ ] Y	[ ] N
06.	Do you allocate capital deliberately between operations, growth, owner distribution, and reserves, with documented proportions?	[ ] Y	[ ] N
07.	Could you tell me, right now, the three largest growth investments your business has made in the last twelve months and what they have returned?	[ ] Y	[ ] N

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PRACTITIONER INSIGHT

Spending is a Portfolio, Not a Habit

The strongest financial operators treat spending as a portfolio. Operational costs get cut deliberately. Growth investments get evaluated against return. Capital allocation gets decided deliberately each quarter. Businesses that treat all spending as cost compound waste over years. Businesses that treat all spending as investment lose discipline. The discipline is the distinction.

DOMAIN 07 · FINANCIAL VISIBILITY SYSTEM

Founder Scorecard and Decision Support

ABOUT THIS DOMAIN

Whether you actually run the business from a small set of numbers you look at on a cadence, or whether you check the bank balance and assume that is enough. The Founder Scorecard is the single most-used artefact in the financial discipline of businesses that compound.

	ANSWER HONESTLY		
01.	Do you have a defined Most Important Number that measures whether the business is winning or losing, agreed and named explicitly?	[ ] Y	[ ] N
02.	Do you have a Founder Scorecard of seven to ten metrics that you actually review every week?	[ ] Y	[ ] N
03.	Does the Scorecard include both financial metrics (lagging) and operational metrics (leading)?	[ ] Y	[ ] N
04.	Do you maintain a rolling 13-week cash forecast that you update weekly?	[ ] Y	[ ] N
05.	Do you maintain a rolling 12-month profitability forecast that you update monthly?	[ ] Y	[ ] N
06.	Do major business decisions get a documented decision-support packet that quantifies financial implications under base, upside, and downside scenarios?	[ ] Y	[ ] N
07.	Could you tell me, right now, what your Most Important Number is, without looking it up?	[ ] Y	[ ] N

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PRACTITIONER INSIGHT

Visibility Beats Effort

The strongest operators run the business from a small number of metrics they actually look at, not from a large number they theoretically have access to. The discipline is to choose the seven that matter, refresh them on cadence, and act on the variances. Founders who track many metrics without acting on any of them produce activity. Founders who track seven and act on them produce results.

READING THE PATTERN

Six common patterns of stuck finance.

Add up your No's across the seven domains. The pattern matters far more than the total. Six patterns show up again and again in Financial Engines at the three-to-ten-crore stage.

The Single-Account Business

High No's in Cash Allocation. The business operates from one account that the founder spends from. Profit is whatever is left over after expenses. Owner's pay is whatever is left over after profit. Tax is a surprise every year. Growth is capped by what the founder can scrape together each month.

The Working Capital Trapped Business

High No's in Cash Conversion. The business is profitable on paper but constantly short of cash because Days Sales Outstanding is long and supplier payments are rushed. The founder borrows or uses personal funds to bridge the gap and calls it the cost of doing business. It is not. It is the cost of not running the cycle.

The Unprotected Business

High No's in Cash Reserves. The business has no buffer. One bad month, one major customer loss, one unexpected expense becomes existential. The founder lives with chronic financial stress that the business's actual performance does not warrant.

The Underpriced Business

High No's in Pricing Discipline. The product is genuinely good. The customers are willing to pay more. Prices have not changed in years. Margin erodes quietly each year through cost inflation while prices hold. Growth in revenue produces no growth in profit.

The Activity-Without-Returns Business

High No's in Cost and Investment Allocation. The business spends, but the founder cannot say what each spend produced. Marketing budgets, tool subscriptions, consulting fees, hiring investments all sit on the income statement with no clear return tracking. Profit erodes from the bottom up.

The Blind Business

High No's in Founder Scorecard and Decision Support. The founder runs the business by feel. There are dashboards somewhere, but they get looked at when something goes wrong. Major decisions are made on intuition without a documented financial frame. Growth is capped by the founder's ability to hold the whole business in their head.

THE SIX MOVES

Where established Financial Engines go next.

For each of the six patterns above, there is a defined move that the most experienced operators make next.

From Single-Account to Allocated

Open four bank accounts this month: Income, Profit, Owner's Pay, Tax, plus the existing Operating account. Allocate every collection across them on a bi-monthly cadence. The discipline is structural. The first quarter you do it, the uncomfortable feeling tells you exactly which category was being starved.

From Trapped to Liquid Working Capital

Measure your Cash Conversion Cycle this month. Identify the single largest driver (usually DSO). Install a documented collection cadence with named follow-up dates. Each day of cycle improvement frees working capital permanently.

From Unprotected to Reserved

Set a reserve target this month: three months of operating expenses, minimum. Open a dedicated reserve account. Set up an automatic monthly contribution toward the target. The discipline of contributing during good months is what makes the reserve available during bad ones.

From Underpriced to Value-Priced

Raise your prices on the next five proposals by ten percent. Track win rate. The data almost always shows that the price increase produces more revenue at unchanged or near-unchanged volume. Make pricing a quarterly review item.

From Activity to Investment Return

Pick your three largest growth spends from the last twelve months. Write down what you expected each to produce, in actual rupees. Compare against what they actually produced. The gap is your investment discipline opportunity, and the act of writing it down installs the discipline.

From Blind to Scorecard-Driven

Choose your Most Important Number this month. Then choose three to five Drivers that move it. Build a one-page Founder Scorecard. Review it every Monday morning for thirty minutes. The discipline of looking changes the discipline of acting.

Most stuck Financial Engines do not need more revenue. They need the right structural move on the system that is leaking value.

YOUR NINETY-DAY MOVE

What to do this week, before you go anywhere else.

Whichever pattern you fit, there is real work you can do this week that does not require any external help.

If you are The Single-Account Business

Open the four additional bank accounts this week. Name them Income, Profit, Owner's Pay, and Tax. On your next collection, allocate the percentages before you spend a rupee. The first allocation is the work. The rest is rhythm.

If you are The Working Capital Trapped Business

Calculate your Days Sales Outstanding this week, from the last quarter's data. Identify the five oldest unpaid invoices. Follow up on them this week. The cycle improves the moment the discipline starts.

If you are The Unprotected Business

Open a reserve account this week. Move whatever cash you can spare into it today, even if it is small. Set up an automatic monthly transfer toward the three-month target. The reserve starts the moment the transfer is scheduled.

If you are The Underpriced Business

On your next proposal, this week, raise the price by ten percent. Send the proposal. Note the response. Most of the time, the proposal is accepted. The founders who do this once usually do it again.

If you are The Activity-Without-Returns Business

Pick your three largest growth investments from the last twelve months. Write down what each was expected to produce in rupees. Write down what each actually produced. The act of writing is the discipline. Do this with every major investment from now on.

If you are The Blind Business

Pick your seven metrics this week. Build the Founder Scorecard on a single page. Review it every Monday morning at the same time. The Scorecard is the artefact that turns a busy founder into a deliberate one.

THE NEXT STEP

What this audit cannot do for you.

This audit was designed to do one thing well. End the guesswork about where your financial engine is structurally stuck. If you have answered honestly, you now know which dimension is the bottleneck, which pattern most resembles your business, and what to do this week.

What this audit cannot do is rebuild the engine for you. It cannot install the missing systems, redesign the broken processes, or hold you accountable to doing the work week after week. It cannot integrate your Financial Engine with the Revenue Engine and the Operating Engine that sit alongside it, which is where the real compounding lives. For that you need a structured engagement with someone who has built this work across real businesses.

That is what the Three Engine Model Business Growth System is for.

Three Engine Model Business Growth System

The complete coaching engagement.

A multi-month, weekly-cadence engagement that builds your full business machine. Three Engines, nine Systems, twenty-seven Processes. Each week is insight plus application work. Follow-up between sessions when you get stuck. Structured documentation throughout. You finish with a documented, operating business machine that runs without you.

Apply for a discovery conversation · sureshbalachandar.in

ABOUT THE COACH

Suresh Balachandar

Business coach since August 2018. More than eight years of business experience before that. Coached more than ninety entrepreneurs and small-business owners across multiple industries.

Practical foundation in applied psychology. The work brings psychology together with how businesses actually run, treated as systems and processes rather than as collections of people doing their best. The combination is unusual and it is the reason the coaching produces structural change rather than just motivation.

Twenty-one proprietary frameworks, built across years of coaching real businesses across real industries. The methodology behind this audit is one of them. It is well-researched, widely accepted by the business community, and refined through application rather than theory.

Founders who work with me get direct, honest, structured engagement. I will tell you what I see, including the things you may not want to hear. I will hold you to the work between sessions. I will not let the engagement drift, because drift is what kills the result you are paying for.